



Central Bank
of Armenia

2024 Q2

Transparency Report

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Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

June 11, 2024

Present at the meeting: Governor Martin Galstyan; Deputy Governors Armen Nurbekyan and Hovhannes Khachatryan; and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Levon Sahakyan, and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement as well as in Section I, Part B of the Monetary Policy Report.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios are primarily related to the potential for a “higher for longer” interest rate environment in the United States, with implications on capital flows in emerging markets; worsening geopolitical tensions, both globally and regionally; uncertainty about the country risk premium in the context of the fiscal deficit and geopolitical tensions; risks to global trade and supply chains; high inflation expectations; as well as other risks and uncertainties. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include the risk for much weaker aggregate demand conditions; concerns about potential adverse developments in the real estate sector; continued growth in domestic labor supply; accelerating growth in investments, supported by the utilization of large accumulated savings in the real sector of the economy; the potential for a sharp slowdown in global demand; as well as other risks and uncertainties. A detailed description of the Case A- and B-type risks highlighted during Board deliberations are presented in the Taxonomy of Scenarios section of the Monetary Policy Report.

Against the backdrop of the broader set of risks, as well as the two illustrative scenarios presented in the Monetary Policy Report, the Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision at this stage. Board members were in unison in emphasizing the plausibility of the risk for a “higher for longer” policy stance in the US, given continued trends of high consumption-driven growth, above-target inflation, and persistent stickiness in wages and prices. Hasmik Ghahramanyan and Hovhannes Khachatryan, however, noted that the above-mentioned risk is not a high concern for them since possibilities of Fed rate cuts in 2024—closer in line with market expectations— remain the most probable scenario, particularly if US demand conditions show signs of meaningful cooling in the near term. All Board members emphasized that higher interest rates in the US could have implications on neutral rates both globally and in Armenia in the medium term. Armen Nurbekyan, in particular, emphasized that the significant uncertainty about the neutral rate has meaningful policy implications. Turning to the EU, Artak Manukyan and Martin Galstyan suggested that risks of political and fiscal instability in the EU could have inflationary implications on Armenia over the medium term. Narek Ghazaryan and Hasmik Ghahramanyan both underscored meaningful uncertainty regarding future movements in commodity prices. The latter argued that while upside risks to global prices persist (e.g. lingering geopolitical tensions in the Middle East, increases in global food prices, etc.), these risks have thus far not yet translated into higher inflation for imported goods to Armenia, somewhat softening the risk of growing external inflationary pressures in the near term.

With respect to domestic economic developments, all Board members expressed concern about the structural characteristics of growth in Q1. In this context, Armen Nurbekyan and Martin Galstyan raised concerns about the deeper, structural problems related

to recent economic growth and implications on potential output, though they noted that the monetary policy is not equipped with an effective toolkit to address these structural issues. Several Board members, including Davit Nahapetyan and Hasmik Ghahramanyan noted that the structural characteristics of this growth likely suggested a limited income effect from the perspective of average purchasing power, serving as a further source of downward pressure on weakening domestic demand conditions. While Hovhannes Khachatryan and Narek Ghazaryan generally agreed with this view, they also highlighted counterarguments that such growth could have some positive, spillover effects on other sectors of the economy and domestic demand. Artak Manukyan and Levon Sahakyan both noted risks of weakening external demand pressures in the context of slowing tourism flows. The latter additionally noted slowing inflation in restaurants and hotels as a further indicator of this risk. Turning to inflation, Narek Ghazaryan underlined that despite inflation remaining below target for several successive months, inflation expectations have been far slower to adjust downwards. Levon Sahakyan highlighted that non-traded sticky price inflation continued to stabilize in line with expectations. Referring to recent month-on-month declines in residential rent, he and Hasmik Ghahramanyan both noted the risk that this could indicate early signs of cooling in the real estate market. Artak Manukyan noted concerns about deflationary effects stemming from domestic agriculture, in light of sustained growth in greenhouses, which could pose further downside risks. Discussions then turned to fiscal policy. All Board members emphasized the likelihood of greater fiscal expenditures in light of the May 2024 natural disasters in Lori and Tavush. This, as well as the need for sustained social assistance to forcibly displaced compatriots from Nagorno-Karabakh, could pose risks of a widening fiscal deficit and create some roadblocks for longer-term capital investments. In this context, there is significant uncertainty regarding the timing and execution capacity of these programs, further contributing to risks related to the fiscal risk premium, domestic demand, and the inflation outlook.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the risks in both Case A and Case B directions were relatively balanced, necessitating the policy stance to continue to be gradually eased and a reduction the policy rate by 25 bps in this decision round. From a Case A perspective, and as noted above, Board members emphasized risks of higher neutral rates globally and domestically; higher fiscal expenditures, with implications on the deficit and debt burden; and slowly-adjusting, but still elevated, inflation expectations. The Board overall agreed that these Case A-type risks were largely balanced out by Case B-type concerns, which primarily included risks of weakening domestic and external demand conditions; weakening growth in many sectors of the economy; and concerns about the global economic outlook. While agreeing with this broad view, Armen Nurbekyan placed somewhat greater emphasis on Case A-type concerns. In particular, he argued that uncertainty surrounding the neutral interest rate in Armenia remained significant and served as an important policy risk and concern going forward. On the other hand, Hovhannes Khachatryan placed slightly more weight on the dangers associated with Case B-type considerations, including risks of a negative output gap and more deeply negative demand conditions taking hold across the economy and in most “traditional” export-oriented sectors. Nevertheless, the Board as a whole was in consensus that a balanced approach in the current policy round was most prudent to appropriately address both the Case A- and Case B-type risks that they underscored in their discussions.

Policy Decision

Given the discussion of these and other scenarios in the context of the existing uncertainties, the Board of the CBA emphasizes the importance of utilizing a prudent risk management approach to ensuring the price stability objective that seeks to minimize the losses that could stem from these scenarios materializing. Balancing the aforementioned risks in both directions, the Board of the Central Bank of Armenia finds it appropriate to continue to gradually ease the policy stance and decrease the policy rate by 25 basis points in this policy round (see Table 1). The Board will continue to monitor risk scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 4 percent inflation over the medium-term horizon is met.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
June 11, 2024 Decision

Board Member	Vote
Narek Ghazaryan	Decrease by 25 basis points
Levon Sahakyan	Decrease by 25 basis points
Artak Manukyan	Decrease by 25 basis points
Davit Nahapetyan	Decrease by 25 basis points
Hasmik Ghahramanyan	Decrease by 25 basis points
Armen Nurbekyan	Decrease by 25 basis points
Hovhannes Khachatryan	Decrease by 25 basis points
Martin Galstyan	Decrease by 25 basis points

